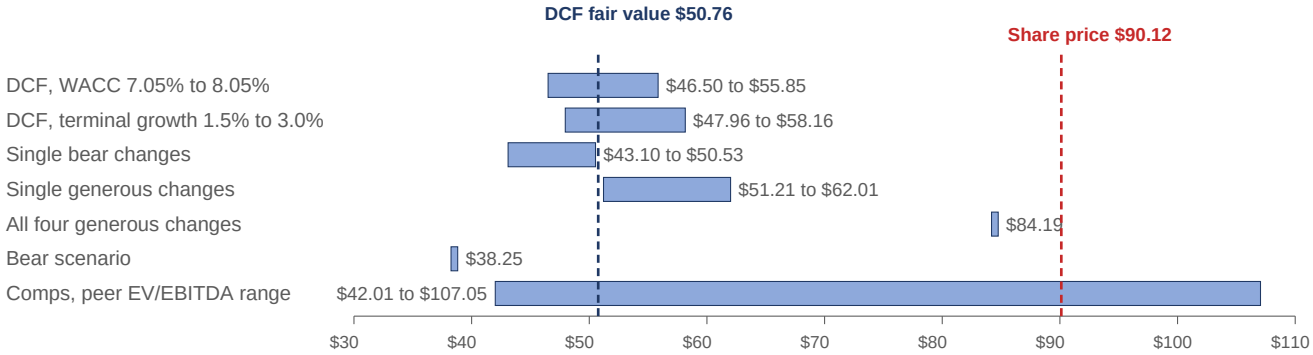
The Coca-Cola Company (NYSE: KO)

SELL	Desk rating: SELL (PM confirmed; re-run 15 Oct 2026 after evidence audit)	Fair value USD 50.76	Share price USD 90.12 (13 Oct 2026)	Upside -43.7%	Bear case USD 38.25

Memo of 13 October 2026, re-run 15 October 2026 after the evidence audit (equity risk premium 4.2%, listed stakes no longer grown in the roll-forward, bear margin 31.9%). Desk rule: BUY at +15% or more, SELL at -10% or worse. **HOLD starts at USD 81.11, BUY at USD 103.64.** Per-share values in US dollars (USD); totals in USD m.



Thesis

- **The price needs a much lower cost of capital.** Our WACC (the yearly return lenders and shareholders require) is 7.55%; the USD 90.12 price implies 5.14%. HOLD would need 5.49%. No reasonable single change takes KO out of SELL.
- **The cash yield is below the risk-free rate.** FY26 free cash flow guidance of USD 12.4bn is a 3.20% yield on the market value, against 5.22% on the 10-year US Treasury, at about 30x earnings, before any IRS payment.
- **A high-quality business, fully priced.** ROIC is 27.0% and the margin ex-CCBA 33.2%. Only KO's own regression beta, an IRS win and 3% perpetual growth together reach HOLD (USD 84.19), still 6.6% below the price.

Valuation

DCF in USD m at the 31 Dec 2025 balance sheet, mid-year discounting (56% of FY26 guided cash, USD 6.9bn of USD 12.4bn, came in the first half).

- **Growth (USD, ex-CCBA):** base revenue USD 44,309m; 6.0% in FY26 (guidance), then 3.0% a year (FY27-30).
- **Savings flow-through:** none (no announced programme); margin held flat at 33.2%. Tax 23.7%.
- **WACC 7.55%:** risk-free 5.22%, beta 0.6091, equity risk premium 4.2% (was 5.0%, unsourced), cost of equity 7.78%; cost of debt 5.91% (risk-free + 0.69% single-A spread); debt weight 7.1%. **ERP source:** Damodaran's implied ERP, 4.20% at 1 Oct 2026, seen only in search summaries (PM to confirm on Damodaran's site).
- **Terminal:** growth 2.0%; capex 4.76% of sales, so new investment earns 27% (RONIC).

Bridge (USD m): EV 214,201 - net debt 29,686 - leases 1,722 - minorities 2,106 - IRS 14,000 + equity stakes 46,626 + CCBA proceeds 1,300 = 214,613; 218,356 at 13 Oct (listed stakes of USD 39,540m already at 13 Oct prices, so not grown; the rest grown at the cost of equity, less USD 6,840m of dividends); 4,302m shares = **USD 50.76**. **Terminal value is 76.7% of EV (FLAG, limit 75%).** Exit multiple 12.0x EBITDA, inside the peer range but at its bottom, against KO's own 26.1x. Comps: peer median EV/EBITDA 19.1x (PepsiCo 11.4x, Keurig Dr Pepper 19.1x, Monster 29.1x) gives USD 42.01 / 70.07 / 107.05; the DCF is 27.6% below the median. Little weight (three peers, forward P/E MISSING).

Value per share (USD)	g 1.5%	g 2.0%	g 2.5%	g 3.0%
WACC 6.55%	57.66	62.07	67.56	74.59
WACC 7.05%	52.37	55.85	60.09	65.36
WACC 7.55%	47.96	**50.76**	54.09	58.16
WACC 8.05%	44.23	46.50	49.18	52.38
WACC 8.55%	41.02	42.90	45.08	47.65

IRS case (PM decision: assume a loss). The bridge deducts USD 14,000m of tax and interest for 2010-25 (10-K), and tax is 19.9% + 3.8 points = 23.7%. **But the 8th Circuit reversed the 3M Tax Court ruling on the same rule (1 Oct 2025);**

KO's 10-K calls it "highly supportive". KO's own appeal (11th Circuit, heard 25 Jun 2026) is pending. KO loses: **USD 50.76**; halfway: **USD 54.48**; KO wins: **USD 58.20** (USD 6.0bn deposit refunded, 19.9% tax). All SELL.

CCBA (African bottler being sold). The base removes CCBA (2024 revenue EUR 3,357m, EBIT EUR 246m) and adds the USD 1,300m sale price plus the retained 25% (USD 850m). The EUR figures are confirmed by two search readings of Coca-Cola HBC's own presentation; the PDF was not opened here (sourced, not verified).

Fundamentals

- **Growth slowing:** organic 16% (FY21, FY22), 12% (FY23, FY24), 5% (FY25); reported 1.9% in FY25 after currency. Volume flat.
- **Margins up, partly mix:** comparable 28.7% (FY22) to 31.2% (FY25), helped by selling bottlers; impairments of USD 1,045m in FY25 are excluded.
- **Returns high:** ROIC 25.0%, 27.5%, 27.9%, 27.0% (FY22-25); 31.4% in FY25 without the IRS deposit.
- **Cash hit by one-offs, debt steady:** FY25 free cash flow USD 5,296m (USD 11,365m before the fairlife payment); net debt / comparable EBITDA fell from 2.40x (FY21) to 1.85x (FY25).

Risks

- **Beta:** 0.6091, the US soft-drinks industry beta (0.5755) relevered. KO's own regressions give 0.13 to 0.35, R-squared 1-12%. HOLD needs 0.068.
- **Volatility:** 18.9% (1 year) and 16.7% (5 years) vs 17.0% for the S&P 500 (5 years).
- **Drawdown:** maximum -17.3% over 5 years, USD 58.08 (22 Apr 2022) to USD 48.05 (5 Oct 2023), dividend-adjusted.
- **Leverage:** 1.85x net debt / comparable EBITDA (2.12x with leases); interest cover 8.3x; rated A+. Paying the USD 14,000m IRS liability would lift it to 2.72x.

Bear case and our response

No single bear change leaves SELL. Stacked bear (1% growth FY27-30, WACC +1 point, PM bear margin 31.9%): **USD 38.25**. Values in USD per share.

Challenge	Test: value (impact)	Response
1. Peak margin	30.0%: USD 45.61 (-5.14); 31.9%: USD 48.68 (-2.08)	30.0% includes CCBA; PM decision: bear margin 31.9%, now in the stacked bear
2. Currency drag	1% FY27-30: USD 47.18 (-3.58); FY26 5.0%: USD 50.25 (-0.51)	1% is a stress test. FY26 5.0% (non-CCBA disposals): PM to respond
3. IRS and cash	add the USD 900m accrual: USD 50.53 (-0.22)	Loss already in base; FY26 cash (USD 11,358m) reconciles to guidance
4. Stakes at market	31 Dec 2025 values: USD 49.54 (-1.22); 21% tax on gain: USD 49.51 (-1.25)	Small. PM decision: no tax deducted
5. Beta at a low	0.868: USD 43.10 (-7.66), WACC 8.56%	PM decision: keep 0.6091. The 8.56% is now inside the 6-9% range
6. ERP (audit)	5.0%: USD 47.01 (-3.74); 5.5%: USD 44.95 (-5.81)	PM decision: 4.2%. PM to confirm the source

Is the SELL just a harsh base case?

Desk assumption	Generous alternative	Value	Impact
Beta 0.61	0.35 (KO regression)	USD 62.01	+11.26
IRS case lost	Win, USD 6.0bn refunded	USD 58.20	+7.44
Terminal growth 2.0%	3.0%	USD 58.16	+7.40
RONIC 27.0%	31.4%	USD 51.21	+0.45
All four together		**USD 84.19**	**+33.43, HOLD**

PM view: SELL. Stacking every generous assumption no longer stays SELL: beta 0.35, an IRS win and 3% growth give USD 84.19 (USD 83.01 without RONIC), just above HOLD (USD 81.11). All three are needed: leave any one out and it is SELL (USD 66.78 to USD 75.75). None reaches BUY.

Sources

- Coca-Cola FY25 Form 10-K (SEC accession 0001628280-26-010047, filed 20 Feb 2026): balance sheet, Note 2 (held for sale), Note 10 (leases), Note 14 (pensions), Note 19, Note 20 (segments, pp.116-117), equity method investments note, IRS liability and the 3M 8th Circuit ruling (tax litigation note); 10-Ks FY22-FY24 (SEC EDGAR XBRL).
- Coca-Cola results 8-Ks (exhibit 99.1): Q4 2025 (0001628280-26-006642, pp.26, 28), Q2 2026 (0001628280-26-049922, FY26 outlook and first-half free cash flow), Q4 2019-Q4 2024 for the guidance track record.
- Coca-Cola 10-Qs: Q1 2026 (0001628280-26-028802) and Q2 2026 (0001628280-26-050503, Note 9: tax rate +3.8 points, USD 900m accrual).
- Coca-Cola HBC CCBA acquisition announcement, 21 Oct 2025 (factsheet and presentation on coca-colahellenic.com; read via two web-search summaries, PDF not opened, PM to verify).
- Damodaran implied equity risk premium, 1 Oct 2026 (search summaries only; docs/audit-2026-10-15/erp-evidence.md). Kroll and Fernandez ERP figures from the same pack.
- FRED: DGS10 (2026-10-08), ICE BofA single-A spread BAMLC0A3CA (2026-10-08), DEXUSEU (2024 average).
- Yahoo Finance: KO, S&P 500, peer and listed-stake prices (13 Oct 2026), dividend dates; Damodaran, Betas by Sector (US), January 2026 (file supplied by the PM).
- Peers PepsiCo, Keurig Dr Pepper, Monster: SEC EDGAR XBRL. Evidence audit 15 Oct 2026: docs/audit-2026-10-15/KO.md and summary.md. PM decisions: briefs/KO.yaml. Agent outputs: runs/KO/2026-10-13/ (valuation and bear re-run 15 Oct 2026).